THE PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
LONGIDO DISTRICT

FORM THREE ANNUAL EXAMINATION
062 BOOK KEEPING

Time: 3 Hours **November 2025**

Instructions

1. This paper consists of sections **A**, **B** and **C** with a total of **nine** questions.
2. Answer **all** questions in **all** sections.
3. Non-programmable calculators may be used.
4. Cellular phones and any unauthorized materials are not allowed in the examination room.
5. Write your **Examination Number** on every page of your answer booklet(s).

SECTION A (15 MARKS)

Answer **all** questions in this section

1. For each of the items (i) – (x), choose the correct answer from among the given alternatives and write its letter besides the item number in the answer booklet provided:

(i) How could a purchase of a non- current assets by cheques affect the statement of financial position?

A. By decreasing non-current assets account and decreasing bank account.
B. By increasing bank account and decreasing asset account.
C. By increasing non-current asset account and decreasing cash account.
D. By increasing cash account and decreasing asset account.
E. By increasing non-current asset account and decreasing bank account

(ii) Seypalm, a sole proprietor, took out cash amounting to TZS 30,000/= from his business for personal hospital bills. What would be a double entry transaction of this transaction?

A. Debit Cash account, Credit Hospital bills account.
B. Debit Drawings account, Credit Capital account.
C. Debit Cash account, Credit Capital account.
D. Debit Drawings, Credit Cash account.
E. Debit Hospital bills account, Credit Cash account

(iii) Blue Mellow Company is a registered manufacturing firm dealing with Producing and supplying clothing. During 2021, a company bought a motor van for TZS 6,000,000/=. It was estimated to be used for four years, then be sold at a scrap value of TZS 2,000,000/=. What was the annual amount of depreciation if the straight-line method is used?

A. TZS 1,500,000/=
B. TZS 2,500,000/=
C. TZS 8,000,000/=
D. TZS 6,000,000/=
E. TZS 1,000,000/=

(iv) Which items would appear under non-current liabilities in the statement of financial position?
   A. TZS 70,000/= 5 years Loan from NBC.
   B. TZS 90,000/= of Credit purchases
   C. TZS 50,000/= paid for expenses.
   D. TZS 80,000/= 6 months Loan from CRDB
   E. TZS 100,000/= 3 years Loan to Mtumzima

(v) Asya Supermarket is a min supermarket located at Njiro, Arusha. During 2023, a business had TZS 14,000,000/= as Non-Current Assets, TZS 8,000,000/= as Current Assets and TZS 5,000,000/= as Liabilities. What would be its Capital balance available during the year?
   A. TZS 14,000,000/=
   B. TZS 22,000,000/=
   C. TZS 17,000,000/=
   D. TZS 19,000,000/=
   E. TZS 27,000,000/=

(vi) Form one students were arguing on which primary and basic objective of preparing a trial balance is. Which of the following uses is the basic purpose of preparing a trial balance?
   A. A trial balance is used for internal control as back up document.
   B. A trial balance is used as a tool for preparing financial statements.
   C. A trial balance is used to check arithmetical accuracy of double entry.
   D. A trial balance is used to present a list of balances at one place.
   E. A trial balance is used to determine profit or loss of a business

(vii) Money contributed by individuals under non-profit marking organization is known as:
   A. Capital introduced.
   B. Capital owed.
   C. Capital employed.
   D. Working capital
   E. Accumulated fund

(viii) A business owned by Ipyana had an opening and closing capital balances of TZS 57,000/= and TZS 64,300/= respectively. The drawings during the same year amounted to TZS 11,800/=. What was the amount of profit made by her business during that year?
   A. TZS 19,100/=
   B. TZS 16,600/=
   C. TZS 5,000/=
   D. TZS 19,600/=
   E. TZS 18,600/=

(ix) Salim Art Creators is a registered company dealing with production and supply of artistic works. During October 2022, it purchased machinery for cash costing TZS 35,000,000/=. What will be a double entry for this transaction?
   A. Debit Cash account, Credit Machinery account
   B. Debit Purchases account, Credit Machinery
   C. Debit machinery account, Credit Cash account
   D. Debit Purchases account, Credit cash account
   E. Debit purchases account, Credit machinery account

(x) Which of the following are the examples of revenue expenditure?
   A. Purchases of goods and payment for electricity bill in cash.
   B. Repair of van and petrol costs for van.
   C. Buying machinery and paying for installation costs.

D. Electricity costs of using machinery and buying van.
E. Wages paid to the worker who operates a machinery

2. Match the items in Column A with the response in Column B by writing the letter of the correct response beside the item number in the answer sheet provided:

Column A	Column B
(i) A process of making a non-current asset free from one's ownership by either selling or leaving it. (ii) An amount spent on acquisition of non-current assets or adding value to them. (iii) An income which the firm anticipates getting but which has not been received during the accounting period. (iv) It is used to record business transactions that are not journalized in any of the other books of original entry. (v) An excess of sales over cost of goods sold.	A. Journal B. Net profit C. Ledger D. Journal proper E. Revenue expenditure F. Gross profit G. Capital expenditure H. Accrued income I. Cash book J. Prepaid income K. Depreciation L. Disposal

SECTION B (40 MARKS)

Answer **all** questions in this section.

3. Mwanampiga extracted a trial balance from his book-keeping records on 30th June 2021. The trial balance failed to agree and the difference was TZS 247,000, a shortage on the debit side. This was placed to a suspense account pending further investigation. The following errors were later found:
   (i) A TZS 1,105,000 cheque payment for general expenses had been entered in the cash book but no entry had been made in the general expenses account.
   (ii) A cheque payment for wages TZS 1,131,000 had been correctly entered in the cash book but was entered as TZS 1,031,000 in the wages account.
   (iii) Commission received of TZS 325,000 had been entered twice in the commission income account.
   (iv) A cheque payment for telephone expenses TZS 624,000 had been debited to both the telephone expenses account and the bank account.
   (v) Stationeries expenses TZS 715,000 had not been entered in the stationery's expenses account.
   Enter the above transactions in the general journal (ignore narrations) and post to the suspense account to correct the errors

4. The following financial information is provided by Malinyi Enterprise for the month of January 2019.

Credit Sales	158,800
Cash sales	120,000
Returns inwards	5,400
Returns outwards	9,000
Bad debts	1,840
Interest charged to customer for unpaid amount	440
Cash received	167,400

Dishonored cheque		1,520
Refund given to credit customer		3000
Balances:		
Debit balance -	1 January 2019	198,000
Credit balance -	1 January 2019	1,280
Debit balance -	31 January 2019	187,120
Credit balance -	31 January 2019	1,280

Prepare debtors control account for the month of January 2019.

5. A sole trader, kept his books of accounts on single entry basis; the position of the business at 31st Dec 2019 was as follows:

Freehold premises	10,000
Plant and machinery	6,000
Stock in trade	13,000
Sundry debtors	17,500
Sundry creditor	18,750
Cash at bank	35,000

At 1st January of that year his capital was TZS 55,000/= during the year his drawings amounted to TZS 5,000/= and the sales of private car realized TZS 2,000/= which he paid into the bank to the credit of the business current account.

Required –

Prepare the **statement of affairs** as at 31st December, 2019, showing the financial position of the business.

6. (a)Patrick gives the following information:

	TZS
Opening inventory	100,000
Closing inventory	70,000
Goods purchased	500,000
Cost of goods sold	300,000

Some goods were stolen, calculate the value of the stolen goods

(b)Calculate the amount of subscription to be shown in income and expenditure statement of Ileje Football Club for the year ending 31st December 2021 from the following information:

	TZS
Subscriptions received during the year	1,000,000
Subscriptions outstanding (owing) as on 31 December 2020	80,000
Subscriptions outstanding (owing) as on 31 December 2021	100,000
Subscriptions received in advance as on 31 December 2020	60,000
Subscriptions received in advance as on 31 December 2021	40,000

SECTION C (45 MARKS)
Answer all questions in this section

7. The following financial information was taken from the books of an entrepreneur Chokochoko as on 30th September 2021. Prepare the statement of manufacturing cost showing clearly, cost of raw materials used, prime costs and production costs when work in progress is included.

Details	**TZS "000"**
Stock at 1st October 2020:	
Raw materials	410,000
Work in Progress	125,000
Stock at 30th September 2021:	
Raw materials	310,000
Work in progress	275,000
Fuel and power	189,000
General factory expenses	24,000
Direct wages	1,010,000
Indirect wages	122,500
Purchases of raw materials	1,290,000
Royalties	36,000
Carriage on raw materials	19,500
Depreciation: Plant and machinery	305,000
Equipment	23,500
Machine lubricants	31,500
Factory rent	10,500
Factory insurance	160,500

8. Benard of Tanga consigned to his agent Maria of Arusha 100 bags of maize costing 2,000 per bag. Expenses paid by Benard were:

   Packages charges Tshs. 2,500
   Freight Tshs. 1,000
   Insurance Tshs. 4,000
   All these were [paid on 1st January 2018;
   On June 2018 an account sale received by Bernard showing that 80 bags of maize have been sold at price of Tshs. 3,500 per bag and expenses incurred by Maria were:
   Port charges Tshs. 1,800
   Transport charges Tshs. 1,000
   Storage Tshs. 500
   Sales expenses Tshs. 800
   10% commission was deducted from gross sales. The balance was paid by the bank draft
   Required: Record the above transactions in the books of consignor,
   showing calculations on unsold stock

9. **Salim Motors Ltd,** provided for depreciation on its machinery at the rate of 20% per annum on cost, its charges for months of ownership policy, financial statements are prepared annually on 31st December. The following information relates to its transaction for the period of four-year ending 31st December, 2017:

   2014: 1st January: Bought machine A for TZS 10,000
   1st July: Bought machine B for TZS 6,000
   2015: 31st March: Bought machine C for TZS 8,000
   2016: 7th October: Sold machine A for TZS 5,500
   5th November: Bought machine D for TZS 12,000
   2017: 4th February: Sold machine B for TZS 3,000
   6th February: Bought machine E for TZS 9,000
   11th October: Exchanged machine D for machine F valued at TZS 7,000

   Prepare:

   (a) Machinery account.
   (b) Provision for depreciation on machinery accounts for the four years ending 31st December,2014, 2015, 2016 and 2017.
   (c) Machinery disposal account.